

CONFIDENTIAL INVESTMENT PROPOSAL

Coeur-Moussa New Town

Investment Proposal for Chinese Partners

A 2,000-unit social & affordable rental-housing new town, ~45 km from Dakar, Senegal

Developer: SIVEP — Société d'Investissement des Villes et Pôles

Financial partner / advisor: Horizon Capital & Advisory

Architect: Kama & Associés

Beneficiaries: members of the Chantifa cooperative

Prepared for: Prospective Chinese investment partners (in discussion with the Shanghai Chamber of Commerce / 上海商会)

Date: ____

Status: Strictly private & confidential — not for distribution

Note to reader. This document presents the project, the market-entry rationale for a Chinese partner, a full Senegal country-risk and compliance analysis, and multiple solar-PV options. Financial figures (investment amount, unit costs, rents, returns) and a small number of legal confirmations are still being assembled by the developer; every such item is collected in **Appendix A — Outstanding Data Checklist** so the body reads as a complete proposal. Figures drawn from public research are cited in the accompanying research briefs and should be re-verified with local counsel before any binding commitment.

1. Executive Summary

Coeur-Moussa is a **~60-hectare new town center located approximately 45 km from Dakar**, delivering **2,000 social and affordable rental homes** for members of the **Chantifa cooperative**. It is developed by **SIVEP** with financial partner **Horizon Capital & Advisory** and designed by the architecture firm **Kama & Associés**. The program is a complete new town — not just housing — comprising schools, nurseries and educational institutions, a medical center, commercial and administrative buildings, sports/cultural/leisure facilities, places of worship (a church and a mosque), landscaped public space, and a fully graded road network with bike lanes and green medians.

The opportunity for a Chinese partner is twofold. Financially, the 2,000 villas are held as a single-owner **rental portfolio**, producing recurring rental yield rather than one-off sales proceeds. Strategically — and this is the heart of the proposition — the project is a **beachhead into the West African market for Chinese building materials, equipment, and companies**. Building 2,000 homes plus a full town's worth of infrastructure is a large, repeatable order for Chinese-exported steel, aluminum, tiles, sanitaryware, and electrical equipment — and for solar panels. The Chinese side participates as an **equity investor**, with discussions running through the **Shanghai Chamber of Commerce**.

This dual return — rental income plus trade/market access — is reinforced by strong tailwinds: the project matches the "low-cost social housing" interest Chinese participants raised at the June 2025 China-Senegal economic forum in Hangzhou; it aligns squarely with Senegal's national housing strategy; and because the base design contains **no solar or renewable element**, a Chinese-supplied photovoltaic component is a clean, additive layer (Section 9), not a retrofit. Chinese export-credit tools (Sinosure, China Eximbank) exist precisely to support this kind of export-led investment.

Investment amount, ownership split, target return, and hold period: see Appendix A.

2. The Project Team

Role	Party
Developer / sponsor	SIVEP (Société d'Investissement des Villes et Pôles)
Financial partner / advisor	Horizon Capital & Advisory
Architect	Kama & Associés — conceived and developed the master plan and unit designs
Beneficiary / tenant base	Members of the Chantifa cooperative
Chinese-side counterparty in negotiation	Shanghai Chamber of Commerce (上海商会)

The beneficiary structure is important: this is **cooperative social/affordable housing**, with a committed tenant base drawn from the Chantifa cooperative rather than open-market demand. Track records for SIVEP, Horizon, and Kama & Associés are to be appended (Appendix A).

3. Project Overview

Location & scale. Coeur-Moussa sits approximately 45 km from Dakar — the same greater-Dakar growth corridor as Diamniadio (~35 km) and Senegal's Scaling Solar plants — on a master-planned site of roughly **60 hectares**. The program comprises **2,000 individual villas**, each on its own plot, in two types:

Type	Land plot	Built area	Layout
Milvilla F3	150 m ²	~50.65 m ²	Living room 15 m ² , master bedroom 12 m ² , bedroom 10 m ² , kitchen 6 m ² , toilet 4 m ² , family space 3.65 m ²
Milvilla F4	200 m ²	~73.41 m ²	Living room 15.48 m ² , master bedroom 14.36 m ² , bathroom 3.41 m ² , two bedrooms at 10 m ² , kitchen 6 m ² , toilet 4 m ² , family space 13.16 m ²

A complete new town. Beyond the dwellings, the master plan includes an administrative building, commercial spaces, schools, nurseries and educational institutions, a medical center, sports/cultural/leisure facilities, a church and a mosque, sustainable waste management, resident security, and landscaped public space (shade areas, walkways, children's playgrounds, public gardens, and parking). The road network is fully graded — a 30 m primary arterial, 20 m secondary, 15 m tertiary, 12 m paved internal block roads, and 5 m pedestrian paths — with bike lanes, wide sidewalks, and central green medians on the main axes, reflecting a deliberate emphasis on soft mobility and quality of life.

Design and construction. The architecture is simple and harmonious, drawing on Coeur-Moussa's local character, with strong natural ventilation for year-round comfort. Construction follows a conventional reinforced-concrete frame (BAEL 91), hollow-block masonry, hollow-core (hourdis creux) floor slabs, monocouche roof waterproofing, ceramic and faience finishes, anti-termite-treated hardwood joinery, anodized aluminum windows and doors, PVC plumbing with on-site septic tanks, and NFC 15-100-

compliant electrical installations. The base design provides for a **standard grid connection only** — no solar element — with mandatory third-party technical control (Bureau de Contrôle) and decennial insurance throughout construction.

Land. The developer reports that the 60-hectare site is **already allocated to the project**. The exact legal instrument (freehold *titre foncier*, long lease *bail emphytéotique*, or a cooperative/state allocation) is to be confirmed, as it determines the mortgageability and security of the rental portfolio for a foreign investor (Appendix A; see also the risk analysis in Section 7).

F3/F4 split, construction timeline/phasing, current build status, and a costed bill of quantities: see Appendix A.

4. Market — Social & Affordable Rental Housing

Senegal faces a structural housing deficit and rapid, partly-informal urbanization concentrated in the greater-Dakar corridor. Coeur-Moussa is explicitly positioned to reduce that deficit and curb informal settlement, in line with the national housing strategy — a positioning that supports both political goodwill and eligibility for affordable-housing incentives.

Crucially, this is a **rental** asset, not a build-to-sell development. The 2,000 villas are leased to members of the **Chantifa cooperative** under a single-owner structure, so the demand metric is **occupancy and rent collection**, not sales absorption. A committed cooperative tenant base materially de-risks demand relative to open-market sale, while defining the asset as a recurring-income (yield) investment. Rent levels, take-up commitments, and any government social-housing support are to be provided (Appendix A), together with comparable rent benchmarks from the greater-Dakar corridor.

5. Senegal — Country & Investment Climate

Full detail and sources: `research/senegal_fdi_risk_compliance.md`. Figures should be re-verified with local counsel before any binding commitment.

Political. Senegal is an electorally legitimate, constitutionally functioning democracy, long regarded as a West African "democratic beacon." However, as of mid-2026 it is in an acute, unresolved intra-government power struggle: in May 2026 President Bassirou Diomaye Faye dismissed Prime Minister Ousmane Sonko amid a dispute over debt-crisis strategy; Sonko was then elected Speaker of the National Assembly — a constitutionally protected office — and confirmed as leader of the ruling PASTEF party, giving him an independent power base. This is the single most time-sensitive factor in the country picture and is treated candidly in the risk analysis (Section 7).

Macro & sovereign credit. A 2024 debt-transparency audit found Senegal's real 2023 debt materially higher than previously reported (roughly 99.7% of GDP versus ~74.4% officially stated), triggering a suspended IMF program and one of the fastest sovereign-rating deteriorations of any country in the period — Moody's from Ba3 to Caa1 and S&P from B+ to CCC+ within roughly 14 months.

A countervailing signal. On governance quality the trend runs the other way: Senegal scored 46/100 on Transparency International's 2025 Corruption Perceptions Index (above the sub-Saharan average),

entered the World Bank's B-READY top-10 in Africa for the first time in 2025, and was named among the top global improvers in the 2025 WJP Rule of Law Index. Governance quality and macro-fiscal stability are, unusually, moving in opposite directions — a nuance investors should hold in mind.

Currency. The West African CFA franc (XOF) is pegged to the euro at 655.957:1 under an unconditional French Treasury convertibility guarantee. Peg risk is low; the real currency consideration is administrative/liquidity friction in repatriating profits, given a 2025 tightening of BCEAO currency-surrender rules (Section 6).

China-Senegal relations. The relationship was upgraded to a "Comprehensive Strategic Cooperative Partnership" in September 2024. A June 2025 economic forum in Hangzhou produced MOUs explicitly covering housing, with Chinese participants flagging interest in low-cost social housing. China is already Senegal's largest source of imports. Recent flagship Chinese projects — the CNTIC/Huawei 2×50 MW solar-plus-storage program (2025), CGN Europe Energy's stake in the Malicounda solar plant, CRBC road construction, and Huawei digital infrastructure — provide strong credibility comparables (Sections 9-10).

6. Legal & Regulatory Compliance

Full detail and sources: [research/senegal_fdi_risk_compliance.md](#).

Investment Code. Senegal adopted a new Investment Code in 2025 (Loi n°2025-16), offering a digitalized one-stop shop (10-working-day target), VAT suspension and customs-duty exemption on approved-project equipment during construction, and a fiscal-stability guarantee of 3 years (Dakar/Thiès) or 5 years (other regions). Approvals run through **APIX**, the investment promotion agency. Eligibility thresholds under the new Code should be confirmed with counsel.

Foreign ownership & land tenure. There is no nationality bar on holding titled Senegalese real estate; the binding constraint is land *category*. Senegal recognizes three tenure types in ascending order of security: *domaine national* (inalienable, highest risk), *domaine de l'État* (enabling a mortgageable, transferable long lease — *bail emphytéotique*), and *titre foncier* (full freehold, lowest risk once obtained). For a rental portfolio held by a project SPV and potentially pledged for financing, the instrument covering the allocated 60 hectares should be confirmed as secure and mortgageable (Section 7).

Corporate vehicle. The likely vehicle is an OHADA-form company (an SA for a multi-investor structure). Full foreign ownership is permitted with no local-partner requirement.

Tax & incentives. Corporate income tax is 30% and VAT 18%, but the Investment Code's construction-phase VAT suspension and customs exemptions, together with affordable-housing incentives tied to the national housing strategy and a specific renewable-energy VAT exemption (2020 decree), are directly relevant. A China-Senegal double-taxation treaty was signed in October 2023 but its entry into force is unconfirmed and should not be relied upon as currently operative.

Repatriation. Profit and capital repatriation is guaranteed in principle under the Investment Code but is procedural: it requires an FDI declaration, routing through an approved local bank, and compliance with BCEAO currency-surrender rules tightened in 2025. This is best framed to investors as a manageable compliance process, not a legal restriction.

Dispute resolution. Senegal belongs to OHADA (with the CCJA as both a supranational commercial court and an arbitration institution), the ICSID Convention, and the New York Convention. A workable pattern is CCJA arbitration for ordinary commercial/JV disputes, ICC/Paris arbitration for higher-value finance disputes, and ICSID/treaty arbitration reserved for sovereign-conduct claims — subject to confirming China-Senegal treaty coverage.

Construction & environmental. A *permis de construire* is required (via the digitalized TeleDAC platform; budget ~3 months in practice), together with an environmental and social impact assessment (EIES) via the DEEC. The applicable thresholds under the 2023 Environmental Code should be confirmed for a residential program of this scale.

7. Risk Assessment — Comprehensive ("Potential Crisis") Analysis

This section states each material risk plainly, with a concrete mitigation. It is the credibility anchor of the proposal and is deliberately not softened.

Risk	Likelihood	Severity	Mitigation
Faye-Sonko institutional rupture (May-June 2026) — a live, unresolved power struggle with street-mobilization capacity	High (ongoing)	High	Monitor continuously through to signing; build a political-risk contingency and timing clause into the deal; do not treat as background
Sovereign debt / rating crisis (Caa1/CCC+, suspended IMF program)	High (ongoing)	Medium-High	Structure financing to avoid direct sovereign-credit exposure; price political-risk insurance into returns
Land tenure security (land reported already allocated; instrument unconfirmed)	Medium (partly de-risked)	High	Confirm the instrument (titre foncier / bail) is mortgageable and held by the rental SPV; full title-history search (état hypothécaire) via a notary before closing
Currency convertibility / repatriation friction (2025 BCEAO tightening)	Medium	Medium	Route all flows through an approved local bank from day one; retain UEMOA-qualified counsel; consider EUR-denominated tranches
CFA-exit / currency-reform political risk	Low-Medium (medium-term)	Medium	Disclose candidly; note Senegal's continued 2025 XOF bond issuance as a countervailing signal against near-term rupture
Regulatory / permitting delay	Medium	Medium	Budget ~3 months for permitting (not the optimistic 28-40 day target) in the construction schedule
Investor-state arbitration exposure (Senegal is an active ICSID respondent)	Low-Medium	Medium	Confirm China-Senegal BIT status before assuming treaty protection; structure via a jurisdiction with confirmed Senegal coverage if treaty protection is a priority
Expropriation risk	Low	High	MIGA / Sinasure political-risk insurance; the Investment Code's own expropriation guarantees
FX / PPA mismatch on the solar component	Medium (scenario-dependent)	Medium	Structure the PV offtake in EUR or EUR-indexed terms rather than USD (Section 9)

Recommended risk-transfer wrapper. Because the Chinese participation is export-led, **Sinasure export-credit insurance** and, where relevant, **MIGA** political-risk cover are natural instruments to wrap the equipment/material exports and the equity exposure — turning several of the above risks into insurable, priced items rather than open exposures.

8. Financial Structure

This is an income-producing rental asset (build-to-rent), not a build-to-sell development. The 2,000 villas are held by a single owner (SIVP / the cooperative / a project SPV) and leased to Chantifa

cooperative members, so returns are driven by **recurring net rental yield**, with the solar component (Section 9) adding a cost-saving and/or revenue layer on top.

The full financial model — total project cost (land, the 2,000 units, and the complete town infrastructure of roads, utilities, schools, medical, worship and landscaping, plus the solar component), the rent schedule per F3/F4, target occupancy, the capital stack and the Chinese/Senegalese split, target IRR and hold period — is being assembled by SIVEP and Horizon Capital & Advisory and is set out as an open item in Appendix A. Consistent with prudent practice, this proposal does **not** publish return figures ahead of a supporting model. The financial section, once populated, should present a stabilized net rental yield with sensitivities to construction cost, occupancy/rent, currency movement, and solar output/soiling.

9. Solar PV Component — Multiple Scenario Options

Full detail, cost sourcing, and citations: `research/senegal_solar_pv_options.md`.

Because the base design contains no renewable element, the PV component is a clean, additive opportunity — and it is also a further line of Chinese equipment sold into the project (Section 10). Per client instruction, **multiple scenario options are presented rather than a single locked-in design**.

Why the project structure is near-ideal for PV. Coeur-Moussa is 2,000 villas on a single 60-hectare site, all held by **one owner as rental housing**. This means (i) a single landlord owns all 2,000 roofs, so there is no per-owner negotiation and the rooftop-rights uncertainty that affects condominium buildings is entirely moot — the landlord captures the electricity value directly; (ii) that same single, rent-earning owner is a far more bankable power-purchase counterparty than 2,000 fragmented homeowners would be; and (iii) the large contiguous site also supports a centralized array. Every scenario below is improved by the single-owner rental structure.

Regulatory sweet spot (Decree 2023-286). Solar PV of ≤ 1 MW per installation qualifies for a light "declaration" regime with no license; anything larger, or any installation exporting surplus to SENELEC, requires a 25-year CRSE license. Per-villa rooftop systems sit comfortably under the declaration threshold; a centralized 60-ha array would need the license.

Scenario	Est. CAPEX	Ownership / role	Key consideration	Best fit
(a) Rooftop distributed, per villa	~\$1,000-1,400/kW (est.)	Single landlord SPV owns all arrays; Chinese partner supplies + installs (± O&M)	Dust-cleaning across 2,000 roofs favors a bundled Chinese O&M offer; rooftop-rights fully moot	Strong fit — each ≤1 MW system stays in the declaration regime; electricity value becomes an operating-cost saving or tenant-resale line
(b) Centralized solar farm + private microgrid	~\$1,000-1,300/kW (est.)	Landlord SPV owns; Chinese partner as EPC + possible minority equity	Triggers the 25-year CRSE license; uses part of the 60 ha	A "campus utility" feeding the whole town via a private microgrid
(c) Hybrid PV + battery storage (± genset)	PV + battery ~\$250-450/kWh (est.)	Landlord SPV owns; Chinese partner supplies integrated PV + storage	Battery capex and ~10-15-year replacement cycle	Recommended default — best matched to Senegal's grid-reliability profile for a reliability-marketed rental product
(d) PV + Chinese EPC / PPA or BOOT-BOO	Borne by the Chinese side, recovered via a 15-25-year PPA	Chinese partner designs, finances, builds, owns, operates; SPV pays per-kWh	Counterparty credit materially improved (one rent-earning SPV, not 2,000 owners); USD/EUR-vs-XOF mismatch	Best if the Chinese side wants a long-term revenue stream and the SPV offers credit enhancement

Credibility anchor. CGN Europe Energy — the European renewables arm of China General Nuclear Power Corporation — owns 90% of the operating 22 MW Malicounda solar plant in Senegal. This is the strongest direct Chinese-Senegal solar precedent and should lead the section. (No large Chinese-financed *utility-scale* Senegalese solar EPC project exists beyond this stake, so the project is best framed as extending that relationship into a new EPC/BOOT role.)

Financing and de-risking. Sinasure export-credit insurance, China Eximbank concessional lending (its Gouina hydro loan to Senegal ran 20-year/9-year-grace/2%), IFC and MIGA blended finance (the Kael+Kahone plants carried MIGA political-risk cover), and the AfDB "Desert to Power" facility all provide relevant support. **Currency:** because the XOF is pegged to the EUR, a EUR-denominated or EUR-indexed PPA carries materially lower currency risk than a USD-denominated one.

Engineering note. Dust and Harmattan soiling can cut output by 25-50% or more without active cleaning; roughly bi-weekly cleaning is recommended in the peak dry season. This should be budgeted into O&M for any chosen scenario — and an automated/robotic cleaning offer could be a differentiator in the Chinese partner's O&M package.

10. Strategic Rationale — A Market-Entry Play, Not Just a Financial Return

The core proposition to a Chinese partner is this: **Coeur-Moussa is a beachhead into the West African market for Chinese building materials, equipment, and companies.** Rental yield is the financial return;

trade and market access is the strategic return.

The building-materials export channel is concrete, not hypothetical. SIVEP's own technical specifications already require imported steel rebar (FE500), aluminum joinery, ceramic and grès tiles, faience, sanitaryware, PVC piping, and electrical equipment — every one a category in which Chinese manufacturers are highly competitive. A program of 2,000 homes plus full town infrastructure is a large, repeatable materials order that a Chinese supplier base can fill, using Coeur-Moussa as a reference and demonstration project for the broader Senegalese and West African market. The solar component is part of the same export story.

This aligns with the upgraded 2024 China-Senegal Comprehensive Strategic Cooperative Partnership, the June 2025 Hangzhou forum's explicit interest in low-cost social housing, and China's position as Senegal's largest import supplier. Because the thesis is export-led, **Sinosure and China Eximbank are a natural fit** — they exist precisely to finance and de-risk Chinese equipment and material exports. Recent Chinese projects in Senegal (CNTIC/Huawei solar-plus-storage, CGN's Malicounda solar stake, CRBC roads, Huawei digital infrastructure) demonstrate that large Chinese-built projects are well received.

11. Deal Structure & Governance

The Chinese side participates as an **equity investor**, with negotiations running through the **Shanghai Chamber of Commerce**. The proposal envisions up to three complementary value streams, which can be bundled into one transaction or contracted separately:

1. **Equity** in the single-owner rental-housing SPV (the yield asset);
2. **Building-materials supply** contracts feeding the construction program (the export/market-entry channel); and
3. The **solar component** — as equity, EPC, or a PPA/BOOT structure per Section 9.

The equity split between SIVEP/the cooperative and the Chinese investor, board composition, decision rights, and the exact role of Horizon Capital & Advisory are to be settled (Appendix A). Once terms are agreed, the shareholders'/JV agreement, supply contracts, and any PPA/EPC agreement can be drafted; standard jurisdiction-aware templates are available for that stage.

12. Implementation Roadmap

Investment/JV signing → confirmation of the land instrument → permitting (permis de construire + EIES) → establishment of the materials supply chain → construction start → solar installation → phased lease-up and occupancy → stabilization. Actual dates depend on the construction and phasing schedule (Appendix A).

13. Exit Strategy

As a **hold-for-yield rental asset**, the base case is holding for recurring rental income rather than a near-term sale. Potential exit routes include sale of the stabilized income-producing portfolio to an institutional

or regional buyer, refinance-and-hold, or a REIT/securitization vehicle. Separately, the Chinese materials-supply relationship established through this project may carry ongoing value and continuity independent of any equity exit — a strategic asset in its own right.

Appendix A — Outstanding Data Checklist

The following items are needed to finalize the proposal and are being assembled by the developer and financial partner.

Financials (client does not yet have these):

- Total investment ask and what it buys (% equity)
- Total project cost / cost per unit (units + full town infrastructure + solar)
- Monthly rent per F3 / F4 and target occupancy
- Capital stack (Chinese/Senegalese split, debt, concessional finance)
- Target return / IRR, equity multiple, hold period
- Construction and phasing schedule; current build status

Legal / structural:

- Exact land instrument for the allocated 60 ha (titre foncier / bail emphytéotique / cooperative allocation) and confirmation it is mortgageable by the SPV
- 2025 Investment Code eligibility thresholds and affordable-housing incentive eligibility (with counsel)
- China-Senegal BIT status; China-Senegal DTA entry-into-force status
- Deal packaging: equity + materials supply + solar bundled or separate; the Chinese investing vehicle/consortium; Horizon's exact mandate

Project detail:

- F3/F4 unit split across the 2,000
- Chantifa cooperative size and committed tenant take-up
- Track records: SIVEP, Horizon Capital & Advisory, Kama & Associés
- Comparable rent benchmarks in the greater-Dakar corridor

Supporting materials referenced:

- assets/SIVEP_Cahier_de_charge_du_programme_des_logements.pdf — technical specifications
- research/senegal_fdi_risk_compliance.md — full country-risk & compliance brief with sources
- research/senegal_solar_pv_options.md — full solar-PV scenario brief with sources
- research/project_facts_from_sivep_cctp.md,
research/project_facts_from_video.md — project-fact extractions

Figures cited from public research should be re-verified with Senegalese and Chinese counsel before any binding commitment.